

Table 4.1 Identification Guidelines

Characteristic	Discussion
Appearance	Looks like a big W with turns located by Fibonacci ratios.
BA/XA retrace	The ratio of BA/XA is either .382 or .5
BC/BA retrace	The ratio of BC/BA is one of .382, .5, .618, .707, .786, or .886
DC/BC extension	The extension of leg DC to BC is one of the Fibonacci numbers: 1.618, 2, 2.24, or 2.618.
DA/XA retrace	The ratio of DA to XA is .886.
Volume	Volume is downward the majority of the time, but this is an observation, not a requirement.
Duration	I limited patterns to 6 months, but this is an arbitrary limit I use for most chart patterns.

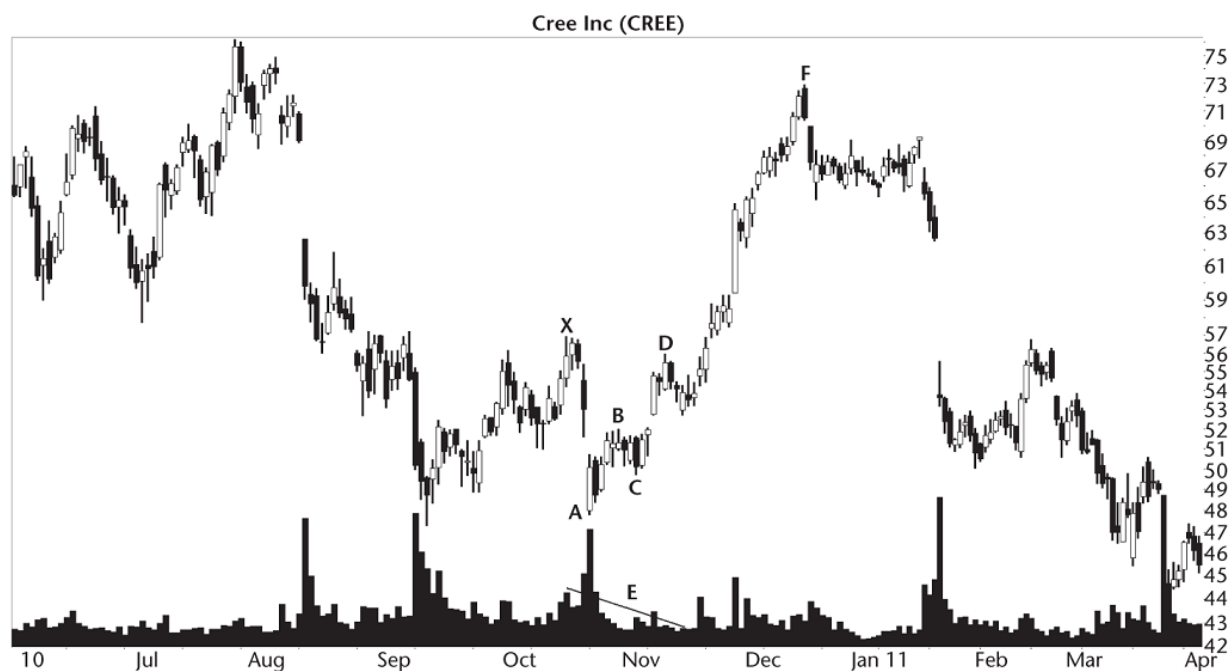


Figure 4.2 This bearish bat sees price dip after D but still breaks out upward.

Appearance. My guess is that the name comes from the picture which forms when you connect turns XABCD with lines, but also includes lines